T-12 OPERATING STATEMENT

Falcon Lodge | Memphis, TN

Property	Falcon Lodge
Period Ending	July 28, 2024
Basis	Accrual - Trailing 12 Months
Prepared By	Lumen Residential Services
Size	211 guest rooms

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Re	332,467	321,896	333,171	329,665	310,148	327,407	335,863	306,994	305,506	326,217	314,893	303,599	3,847,825
4010 Loss to Lease	37,710	36,572	40,832	37,592	38,954	39,160	37,359	36,690	40,463	41,500	36,918	39,955	463,705
4020 Vacancy Loss	267,220	274,829	278,750	277,813	272,508	280,983	277,697	281,420	257,868	281,015	274,922	253,559	3,278,585
4030 Concessions	161,265	162,240	179,437	183,073	161,535	169,998	173,514	171,063	160,285	179,873	182,424	180,231	2,064,939
4040 Bad Debt	13,908	14,555	14,006	14,226	14,823	13,636	14,638	13,546	13,391	14,446	13,871	14,694	169,740
4050 Late Fees	16,658	18,768	18,809	16,917	17,308	18,046	17,166	18,890	18,184	17,332	18,043	18,705	214,826
4060 Utility Reimbursem	35,037	37,165	36,149	39,714	37,548	35,193	38,163	36,185	39,649	34,957	36,477	36,223	442,459
4070 Parking Income	62,509	57,086	59,466	56,114	62,226	58,572	63,933	60,195	59,937	57,554	62,145	60,583	720,320
4080 Application Fees	193,906	174,561	194,015	172,907	181,747	186,422	191,704	169,902	191,165	182,190	172,945	173,976	2,185,443
4090 Pet Rent	279,813	286,558	299,738	290,554	269,139	291,688	284,416	280,606	300,639	288,262	301,159	283,151	3,455,723
4100 Laundry Income	87,244	86,124	82,142	82,401	83,927	85,615	86,994	90,014	84,861	83,064	85,711	81,479	1,019,577
4110 Cable/Internet Rev	153,052	162,464	155,504	153,744	155,404	145,557	162,965	146,681	156,113	145,943	148,525	152,370	1,838,323
4120 CAM Reimbursements	78,854	78,323	82,418	80,457	81,672	79,067	80,193	81,110	79,876	81,025	72,674	79,813	955,481
4130 Tax Reimbursements	100,901	109,172	98,521	112,011	102,067	109,626	100,365	109,589	105,449	108,702	106,956	108,835	1,272,195
4140 Insurance Reimburs	54,851	52,310	54,432	54,090	52,476	51,740	56,007	50,992	54,504	52,479	56,602	52,383	642,866
4150 Percentage Rent	76,133	71,901	69,330	71,235	71,350	71,331	74,506	69,096	72,018	75,520	75,429	68,658	866,506
4160 Misc. Income	210,354	204,962	197,217	199,982	189,749	196,680	188,181	199,935	191,663	195,131	207,932	187,259	2,369,044
4170 Payroll - Manageme	18,015	17,241	17,293	16,779	16,629	17,251	16,762	17,012	18,319	16,862	17,722	18,010	207,895
4180 Payroll - Leasing	5,031	5,278	5,266	4,905	5,192	4,990	5,082	5,094	5,448	5,110	5,052	5,088	61,534
4190 Payroll - Maintena	21,077	23,417	21,024	21,881	23,821	22,403	20,937	20,975	23,697	22,054	22,830	21,620	265,738
4200 Payroll Taxes & Be	24,023	23,046	23,788	22,028	21,901	24,929	23,739	22,887	23,499	21,794	23,310	24,682	279,627
4210 Repairs - Plumbing	19,052	19,061	17,978	18,955	17,952	17,457	18,138	18,889	17,283	19,198	19,294	17,953	221,210
4220 Repairs - HVAC	31,093	31,939	32,937	31,495	34,698	32,974	33,514	32,594	32,183	33,062	31,060	33,434	390,983
4230 Repairs - Electric	33,146	33,374	33,939	31,758	31,604	32,701	36,105	35,906	33,268	33,471	32,623	32,545	400,441
4240 Repairs - Applianc	3,127	3,359	3,196	3,256	3,188	3,536	3,381	3,361	3,144	3,540	3,386	3,312	39,786
4250 Painting & Decorat	17,302	17,656	17,156	16,193	17,788	17,572	16,754	16,822	16,237	15,922	17,269	17,448	204,118
4260 Flooring	24,670	23,384	21,931	22,560	24,523	24,572	23,125	22,045	25,084	22,676	22,099	23,678	280,347

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4460 Management Fee	15,568	15,217	14,900	15,411	14,498	14,619	14,673	14,871	15,500	14,951	14,961	15,787	180,954
4470 Property Insurance	3,240	3,063	3,247	3,058	3,404	3,225	3,184	3,129	3,432	3,369	3,241	3,167	38,759
4480 Real Estate Taxes	11,714	11,201	10,893	11,647	10,901	11,571	10,925	11,738	10,767	11,211	12,007	11,733	136,310
4490 Asset Management F	27,534	27,297	25,659	27,853	25,242	28,607	27,327	27,853	28,068	26,861	26,160	26,927	325,386
4500 Replacement Reserv	12,459	12,378	12,315	11,405	11,527	12,256	12,288	12,343	12,277	11,428	12,705	12,421	145,803
4510 Roof Repairs	29,343	29,000	30,308	27,878	27,875	30,253	28,288	28,692	28,982	28,473	29,753	27,615	346,460
4520 Parking Lot Repair	9,216	9,276	8,942	9,109	9,720	9,454	9,678	8,927	9,524	9,861	9,690	8,925	112,321
4530 Signage	25,677	23,726	25,302	25,864	26,264	23,327	26,153	23,290	26,061	25,667	24,651	24,605	300,587
4540 Tenant Improvement	6,143	6,815	6,545	6,772	6,512	6,472	6,086	6,316	6,192	6,587	6,195	6,626	77,262
4550 Leasing Commission	32,766	32,599	31,092	34,220	30,990	30,519	34,308	34,314	30,606	32,156	32,950	32,680	389,200
4000 Gross Potential Re	330,449	312,203	308,385	311,211	335,020	324,978	320,298	325,500	300,749	339,174	324,885	321,012	3,853,863
4010 Loss to Lease	170,458	186,995	177,398	173,273	191,871	184,653	173,688	183,814	167,932	188,848	190,952	186,877	2,176,759
4020 Vacancy Loss	39,179	38,371	39,209	37,905	39,481	40,457	35,736	36,461	35,870	37,097	37,005	37,182	453,953
4030 Concessions	127,034	143,744	139,358	127,969	138,733	131,141	136,423	127,144	129,372	145,170	131,404	131,055	1,608,547
4040 Bad Debt	26,607	29,193	29,083	25,663	26,216	27,922	28,358	26,268	26,745	26,292	28,229	26,112	326,687
4050 Late Fees	247,922	227,599	240,539	224,916	238,053	241,707	236,763	233,281	248,518	255,045	240,815	239,308	2,874,466
4060 Utility Reimbursem	9,037	9,224	9,081	9,056	8,583	8,929	8,499	8,420	8,400	9,008	9,197	9,383	106,817
4070 Parking Income	110,101	118,584	122,447	108,781	122,475	119,016	118,989	113,641	112,888	123,158	114,242	111,832	1,396,155
4080 Application Fees	242,374	250,869	255,305	249,006	239,401	245,276	261,114	235,158	247,587	231,291	263,132	242,365	2,962,877
4090 Pet Rent	171,012	184,434	177,110	167,110	165,487	173,605	177,807	169,845	183,917	180,643	181,323	176,767	2,109,059
4100 Laundry Income	254,871	263,544	278,255	277,142	282,426	264,724	273,955	258,799	263,421	279,237	248,629	249,941	3,194,944
4110 Cable/Internet Rev	294,583	266,361	266,675	266,319	279,689	266,647	293,668	270,023	258,877	279,414	266,957	263,507	3,272,720
4120 CAM Reimbursements	267,194	279,382	260,876	254,797	271,076	258,458	249,647	263,748	254,117	270,013	280,185	253,664	3,163,157
4130 Tax Reimbursements	127,782	119,871	121,295	126,641	123,697	120,520	112,945	123,943	115,003	117,524	125,252	117,189	1,451,663
4140 Insurance Reimburs	225,930	221,173	228,598	230,271	226,492	219,904	214,350	243,152	215,156	232,153	215,631	241,922	2,714,732
4150 Percentage Rent	64,988	59,477	61,480	64,771	59,568	65,988	66,365	65,405	58,868	63,756	62,747	62,289	755,701
4160 Misc. Income	276,125	256,239	281,487	275,310	251,275	282,270	267,874	279,024	286,709	253,804	260,456	281,704	3,252,277
4170 Payroll - Manageme	28,226	27,748	28,472	28,790	29,667	27,196	27,233	27,654	28,992	27,388	27,593	30,992	339,951
4180 Payroll - Leasing	14,309	14,059	14,041	13,551	13,122	13,284	13,841	14,039	13,587	13,981	13,180	12,898	163,893
4190 Payroll - Maintena	34,219	30,210	33,039	33,297	30,635	32,968	30,740	34,084	31,608	30,124	33,919	31,598	386,442
4200 Payroll Taxes & Be	29,782	29,296	26,137	26,325	30,061	28,244	26,786	29,718	28,827	26,887	29,740	29,177	340,979
4210 Repairs - Plumbing	3,994	4,253	4,102	3,994	4,156	4,386	4,271	4,149	4,240	4,395	4,265	4,296	50,500
4220 Repairs - HVAC	32,559	31,600	35,522	35,335	34,835	34,772	35,684	33,958	33,620	33,205	34,059	34,272	409,420
4230 Repairs - Electric	30,266	30,038	26,523	28,933	27,058	28,709	26,962	29,889	27,834	28,833	28,572	29,663	343,279
4240 Repairs - Applianc	25,669	23,742	25,097	24,477	26,054	25,851	23,831	24,724	24,755	25,242	26,637	25,708	301,788
4250 Painting & Decorat	36,873	34,311	32,900	35,533	35,966	35,220	34,987	33,569	34,541	36,784	32,641	34,051	417,376
4260 Flooring	17,070	16,245	16,723	16,079	15,620	16,987	15,812	15,756	15,656	17,095	17,129	16,237	196,410
4270 Make-Ready / Turno	16,333	15,401	16,704	16,314	15,085	16,683	15,544	16,240	15,205	15,862	15,591	15,374	190,336
4280 Landscaping Contra	18,322	19,652	19,101	19,533	18,311	20,075	20,244	19,045	18,781	20,037	20,056	19,912	233,068
4290 Snow Removal	32,131	32,290	31,144	31,854	32,742	35,324	32,406	35,149	34,973	33,342	34,318	31,330	397,003
4300 Janitorial	18,066	18,516	19,865	18,136	18,673	17,493	19,457	19,867	18,422	18,262	18,949	18,189	223,895
4310 Pest Control	16,913	15,720	16,811	16,329	15,943	15,215	16,041	16,958	14,914	16,843	15,099	16,865	193,653
4320 Trash Removal	22,842	23,290	24,347	22,933	24,439	22,295	25,269	23,183	25,325	24,518	23,237	25,393	287,072
4330 Elevator Contract	31,102	32,029	30,198	30,439	30,325	31,826	32,031	30,569	32,243	32,823	30,767	32,878	377,231
4340 Fire & Life Safety	8,005	8,072	8,299	7,800	7,576	8,436	7,783	7,700	8,094	7,609	8,351	7,855	95,580
4350 Security	24,806	23,830	24,406	23,136	26,553	23,413	26,122	24,495	24,224	23,632	25,105	23,488	293,210

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Income and Expense Review

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Debt service coverage ratio was 6.45x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.28% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $60,000 or approximately 23.36 per square foot, with real estate taxes representing the largest line item. Trailing twelve-month occupancy was 89.6% with an average daily rate of $202 and RevPAR indexing above the competitive set.

Effective gross income for the trailing period was $128,000, representing a 6.2% increase over the prior year. Operating expenses totaled $45,000 or approximately 9.91 per square foot, with real estate taxes representing the largest line item. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 36 meeting rooms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 42 hours. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 37 meeting rooms. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 35 additional team members. Trailing twelve-month occupancy was 89.6% with an average daily rate of $202 and RevPAR indexing above the competitive set.

Service requests are tracked through a work-order system with an average completion time of 29 hours. Trailing twelve-month occupancy was 96.5% with an average daily rate of $202 and RevPAR indexing above the competitive set. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Collections for the period were 88.0% of billed charges, with bad debt of 5.8% of gross potential income. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 35 meeting rooms.

Financial Analysis

The going-in capitalization rate of 7.57% reflects the in-place income and the stabilized occupancy assumption. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Debt service coverage ratio was 5.73x on a trailing basis against a covenant minimum of 1.20x.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Debt service coverage ratio was 5.90x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $393,000 or approximately 34.90 per square foot, with real estate taxes representing the largest line item. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $257,000, representing a 12.5% increase over the prior year.

Management Commentary

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4340 Fire & Life Safety	10,697	10,769	10,990	11,143	10,114	11,034	11,267	9,998	10,469	9,985	11,079	10,171	127,714
4350 Security	30,217	31,377	29,904	31,041	32,876	32,751	33,058	32,280	30,062	33,164	31,337	29,116	377,184
4360 Electricity - Comm	26,705	27,941	29,563	26,822	28,975	29,319	28,454	28,992	30,169	27,616	27,691	27,709	339,958
4370 Gas - Common	29,896	28,666	30,047	27,494	28,724	29,107	27,328	27,697	28,779	29,403	28,908	29,817	345,867
4380 Water & Sewer	35,702	36,308	35,992	37,524	37,479	34,028	34,826	34,786	35,188	34,996	35,852	34,676	427,358
4390 Telephone/Internet	16,007	15,422	14,981	14,562	16,326	15,968	16,312	16,254	16,434	15,229	16,542	15,709	189,745
4400 Advertising	24,135	21,673	23,301	21,975	23,613	22,609	23,574	24,407	24,146	24,158	24,468	22,770	280,830
4410 Resident Events	12,481	13,715	13,203	13,528	14,132	13,989	13,452	13,676	13,012	12,978	14,075	13,174	161,412
4420 Office Supplies	6,855	7,143	7,347	6,923	7,334	7,395	7,706	7,198	6,973	7,620	7,685	7,562	87,741
4430 Legal & Profession	6,480	6,074	6,530	6,313	5,935	6,515	6,005	6,557	6,334	5,972	6,331	6,687	75,733
4440 Accounting & Audit	18,215	18,956	16,958	18,324	18,740	18,980	17,651	17,307	18,899	17,957	17,639	19,121	218,747
4450 Licenses & Permits	27,480	27,291	28,694	29,128	29,021	27,714	28,226	28,832	28,082	28,814	28,341	28,410	340,036
4460 Management Fee	16,559	16,677	15,585	17,276	16,130	17,088	17,138	16,164	16,789	16,670	17,316	16,550	199,942
4470 Property Insurance	28,927	30,130	28,436	27,806	30,373	30,137	30,524	29,817	27,341	29,605	29,504	27,229	349,830
4480 Real Estate Taxes	7,660	7,153	7,615	7,676	7,447	7,958	7,326	7,777	7,165	8,040	7,501	7,860	91,178
4490 Asset Management F	29,008	29,600	29,453	26,505	29,783	29,853	26,974	28,786	29,227	29,956	28,928	29,089	347,162
4500 Replacement Reserv	25,564	22,518	22,573	23,101	25,279	24,359	25,201	22,518	23,312	22,638	23,738	23,392	284,194
4510 Roof Repairs	26,134	29,155	28,777	27,711	27,371	27,473	29,642	27,907	27,929	26,851	28,924	29,487	337,359
4520 Parking Lot Repair	9,751	8,899	9,801	8,849	8,864	9,641	9,068	9,840	9,890	9,663	9,889	9,231	113,386
4530 Signage	3,393	3,522	3,493	3,097	3,356	3,109	3,163	3,340	3,191	3,557	3,201	3,234	39,655
4540 Tenant Improvement	10,061	9,956	10,517	10,372	10,538	9,438	9,604	9,708	9,614	9,690	9,368	9,436	118,302
4550 Leasing Commission	21,843	20,770	21,523	19,649	21,068	20,496	20,381	21,004	20,999	20,973	19,793	20,252	248,751
4000 Gross Potential Re	339,640	340,604	313,108	318,315	318,832	341,000	314,314	302,179	316,984	303,433	332,065	324,257	3,864,731
4010 Loss to Lease	160,240	145,265	155,770	153,469	152,307	144,394	156,186	159,063	140,859	160,216	140,328	149,178	1,817,277
4020 Vacancy Loss	240,239	264,210	264,446	258,671	267,842	258,680	252,161	259,776	259,820	273,115	267,057	260,877	3,126,893
4030 Concessions	196,734	199,872	184,880	198,102	200,764	191,974	194,564	201,738	192,519	189,301	184,141	180,522	2,315,110
4040 Bad Debt	194,564	190,695	193,435	198,093	193,318	214,837	196,580	214,147	209,392	216,883	209,757	205,090	2,436,791
4050 Late Fees	67,840	71,034	72,835	72,706	69,420	71,233	66,303	69,482	71,714	74,240	70,275	66,713	843,795
4060 Utility Reimbursem	159,723	167,668	171,931	157,458	158,938	160,226	166,575	167,799	157,230	156,393	166,496	153,656	1,944,092
4070 Parking Income	175,275	199,789	195,005	196,081	178,158	199,479	181,713	186,824	197,416	180,239	180,029	191,002	2,261,011
4080 Application Fees	270,617	283,961	263,737	285,057	262,843	294,462	295,080	291,586	273,683	284,522	294,473	298,936	3,398,955
4090 Pet Rent	96,947	100,326	93,427	100,005	95,494	98,900	97,440	93,937	90,677	97,694	94,055	91,498	1,150,400
4100 Laundry Income	269,048	246,875	265,292	238,795	266,112	264,046	240,592	240,801	267,031	264,363	246,334	257,457	3,066,747
4110 Cable/Internet Rev	3,807	4,083	3,798	3,805	3,751	3,829	3,761	3,923	4,027	3,915	3,953	3,823	46,476
4120 CAM Reimbursements	214,625	237,028	221,447	239,606	212,669	222,615	240,909	211,445	211,982	231,238	230,922	236,951	2,711,438
4130 Tax Reimbursements	190,661	213,561	200,544	195,878	193,935	197,247	190,964	195,949	200,592	206,084	190,158	212,239	2,387,811
4140 Insurance Reimburs	7,647	7,608	8,394	8,218	7,533	8,189	7,572	8,540	8,607	8,115	7,784	8,163	96,371
4150 Percentage Rent	252,421	252,095	268,828	268,249	264,755	272,964	253,359	271,606	246,346	246,047	260,457	265,045	3,122,173
4160 Misc. Income	130,196	137,490	138,481	130,140	134,404	135,858	138,619	137,649	130,410	133,096	134,885	132,782	1,614,008
4170 Payroll - Manageme	31,194	31,040	33,503	29,223	30,287	30,218	31,548	30,843	29,661	30,934	29,734	30,588	368,773
4180 Payroll - Leasing	21,692	21,142	22,040	20,990	22,115	20,579	21,645	22,014	21,872	20,130	21,696	20,085	255,999
4190 Payroll - Maintena	33,920	36,324	33,881	36,708	33,617	33,900	34,848	36,595	34,240	38,403	37,127	37,858	427,421
4200 Payroll Taxes & Be	21,073	19,188	19,305	18,534	20,581	19,847	19,789	20,629	18,946	20,790	19,943	20,001	238,625
4210 Repairs - Plumbing	5,635	5,911	5,787	5,831	5,710	5,924	5,775	5,443	5,790	5,954	5,842	5,710	69,312
4220 Repairs - HVAC	5,708	5,461	5,207	5,295	5,363	5,219	5,455	5,596	5,256	5,822	5,952	5,759	66,093

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Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Trailing twelve-month occupancy was 88.4% with an average daily rate of $202 and RevPAR indexing above the competitive set. Effective gross income for the trailing period was $429,000, representing a 5.6% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The going-in capitalization rate of 5.54% reflects the in-place income and the stabilized occupancy assumption.

Debt service coverage ratio was 7.55x on a trailing basis against a covenant minimum of 1.20x. Trailing twelve-month occupancy was 90.0% with an average daily rate of $202 and RevPAR indexing above the competitive set. Effective gross income for the trailing period was $27,000, representing a 13.0% increase over the prior year. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 27 meeting rooms.

Property Operations

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Collections for the period were 96.3% of billed charges, with bad debt of 3.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 8 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Trailing twelve-month occupancy was 92.2% with an average daily rate of $202 and RevPAR indexing above the competitive set. Collections for the period were 94.5% of billed charges, with bad debt of 3.5% of gross potential income. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Operating Performance

Effective gross income for the trailing period was $128,000, representing a 11.0% increase over the prior year. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses.

Trailing twelve-month occupancy was 88.4% with an average daily rate of $202 and RevPAR indexing above the competitive set. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. Operating expenses totaled $56,000 or approximately 21.96 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.65x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

Collections for the period were 91.0% of billed charges, with bad debt of 3.1% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 41 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Be	9,098	8,985	9,054	9,078	8,366	8,950	8,529	8,995	8,261	8,440	8,055	8,915	104,725
4210 Repairs - Plumbing	8,043	7,255	8,054	7,982	7,313	7,991	8,118	7,185	7,497	7,506	7,428	7,850	92,220
4220 Repairs - HVAC	3,912	3,813	4,149	4,033	3,999	4,110	4,040	4,037	4,020	3,900	4,094	3,747	47,852
4230 Repairs - Electric	24,289	25,281	22,295	22,717	24,804	24,190	24,478	22,664	22,239	23,587	23,497	23,939	283,980
4240 Repairs - Applianc	21,999	21,064	20,343	21,454	21,789	20,797	20,545	21,057	21,082	21,053	21,367	20,609	253,159
4250 Painting & Decorat	28,421	27,447	27,646	27,894	27,865	28,377	25,961	24,989	27,880	26,214	26,481	27,313	326,488
4260 Flooring	4,254	4,075	3,972	4,008	4,155	3,865	4,204	4,109	4,374	3,938	4,091	3,939	48,984
4270 Make-Ready / Turno	37,142	34,668	37,659	36,370	35,600	34,638	35,694	35,045	37,329	34,916	36,205	37,693	432,958
4280 Landscaping Contra	3,337	3,425	3,466	3,420	3,244	3,140	3,242	3,388	3,405	3,095	3,054	3,260	39,475
4290 Snow Removal	30,437	28,976	30,028	29,462	26,922	29,154	28,342	30,365	30,672	27,161	28,762	26,957	347,237
4300 Janitorial	39,170	35,354	39,013	36,568	39,368	36,651	40,099	39,625	35,513	36,539	35,938	38,750	452,588
4310 Pest Control	9,847	9,856	9,831	10,131	9,546	9,604	9,455	10,083	9,809	9,783	9,214	10,137	117,296
4320 Trash Removal	23,573	23,512	23,765	21,196	23,545	22,595	23,785	21,699	21,750	23,229	23,105	21,806	273,562
4330 Elevator Contract	20,039	21,541	19,203	19,915	19,804	21,073	18,788	20,275	19,281	20,588	19,939	20,526	240,970
4340 Fire & Life Safety	12,227	11,760	12,482	11,516	11,821	12,996	12,447	12,333	11,724	13,063	12,829	12,726	147,923
4350 Security	38,123	36,799	39,020	38,013	35,507	39,036	35,168	39,555	38,516	36,766	37,306	38,578	452,387
4360 Electricity - Comm	4,448	4,316	4,369	4,470	4,046	3,959	4,428	4,198	4,260	4,140	4,359	4,156	51,148
4370 Gas - Common	14,255	15,175	15,295	14,702	14,430	13,588	14,058	15,399	15,096	15,098	15,574	13,806	176,476
4380 Water & Sewer	18,370	17,094	17,501	17,201	17,899	17,865	16,814	17,104	16,891	18,272	17,171	18,033	210,214
4390 Telephone/Internet	4,199	4,245	4,444	4,498	4,113	4,028	4,406	4,214	4,359	4,046	4,266	4,056	50,875
4400 Advertising	24,900	24,863	25,203	25,726	24,025	24,152	25,928	24,697	26,050	25,663	23,910	23,838	298,955
4410 Resident Events	24,687	25,125	24,976	25,590	23,636	23,760	24,978	26,218	23,291	25,380	23,367	24,837	295,843
4420 Office Supplies	26,373	27,086	25,941	26,042	28,956	27,304	28,695	27,916	28,929	27,324	27,560	29,414	331,540
4430 Legal & Profession	16,507	16,702	16,421	16,093	17,269	15,655	17,329	16,153	16,872	15,551	15,853	16,434	196,839
4440 Accounting & Audit	11,889	13,202	12,297	13,298	12,370	13,190	12,701	12,143	12,437	11,860	12,455	12,281	150,123
4450 Licenses & Permits	16,500	15,819	15,321	16,356	15,429	15,659	16,857	16,267	15,590	16,045	15,419	16,507	191,769
4460 Management Fee	18,869	17,417	17,848	18,865	18,325	19,420	19,645	17,999	17,370	17,396	19,043	19,236	221,434
4470 Property Insurance	39,572	38,467	39,771	35,831	38,616	38,577	36,183	38,989	36,532	36,184	36,518	36,274	451,516
4480 Real Estate Taxes	19,910	19,979	22,290	21,352	19,876	20,959	22,285	20,721	20,156	21,680	20,042	20,286	249,535
4490 Asset Management F	5,984	5,312	5,738	5,809	5,445	5,395	5,414	5,974	5,630	5,755	5,350	5,383	67,188
4500 Replacement Reserv	6,234	5,755	5,819	6,092	6,340	6,352	6,414	5,751	5,778	5,888	6,429	6,169	73,020
4510 Roof Repairs	9,827	9,423	10,519	10,392	10,110	9,420	9,967	9,656	10,357	9,665	10,355	9,701	119,391
4520 Parking Lot Repair	18,924	19,664	19,033	20,887	19,532	21,246	19,838	19,196	20,013	20,891	21,447	21,438	242,110
4530 Signage	35,268	37,448	38,814	36,074	35,353	35,320	35,632	37,659	34,872	36,715	39,703	37,049	439,906
4540 Tenant Improvement	23,506	23,718	23,965	22,301	21,793	20,845	22,806	22,766	22,381	22,734	22,770	23,344	272,930
4550 Leasing Commission	16,550	15,543	16,710	17,041	16,846	16,440	15,899	14,974	15,210	15,803	16,297	15,827	193,141
4000 Gross Potential Re	302,149	308,729	298,292	314,299	316,054	339,403	307,710	323,697	323,896	339,049	329,598	332,206	3,835,084
4010 Loss to Lease	266,821	296,794	275,969	266,649	281,265	278,927	291,977	294,379	266,554	304,604	272,715	291,662	3,388,315
4020 Vacancy Loss	32,149	31,295	32,974	31,627	34,563	34,380	33,268	31,011	33,947	32,729	34,575	31,336	393,854
4030 Concessions	68,323	69,530	69,785	76,267	71,463	70,475	74,400	69,546	69,264	69,805	74,389	72,414	855,659
4040 Bad Debt	253,964	267,280	282,028	262,664	284,529	253,694	258,989	266,966	265,844	260,139	271,033	276,848	3,203,978
4050 Late Fees	207,457	192,718	209,822	201,465	205,271	193,412	209,992	190,184	202,937	194,069	187,847	197,650	2,392,823
4060 Utility Reimbursem	80,020	83,884	84,199	80,508	82,302	82,220	84,374	77,538	78,755	76,803	85,733	77,396	973,730
4070 Parking Income	249,433	232,172	249,498	242,317	250,773	248,069	245,307	231,916	231,625	247,534	232,724	264,043	2,925,412

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Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $381,000 or approximately 7.69 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.07x on a trailing basis against a covenant minimum of 1.20x. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.74% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $149,000 or approximately 24.87 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 8.06x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 13 meeting rooms.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 46 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Trailing twelve-month occupancy was 90.3% with an average daily rate of $202 and RevPAR indexing above the competitive set. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 40 meeting rooms. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members.

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 37 meeting rooms. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Trailing twelve-month occupancy was 89.4% with an average daily rate of $202 and RevPAR indexing above the competitive set.

Valuation Discussion

Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.36x on a trailing basis against a covenant minimum of 1.20x. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Effective gross income for the trailing period was $318,000, representing a 6.8% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 21 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Operating expenses totaled $184,000 or approximately 21.55 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $199,000, representing a 7.5% increase over the prior year.

Leasing and Marketing

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4160 Misc. Income	167,266	167,730	164,027	162,543	171,751	162,131	163,892	153,912	165,286	156,590	157,648	171,900	1,964,677
4170 Payroll - Manageme	27,600	27,211	24,406	24,614	25,128	25,393	26,435	26,587	26,441	25,733	27,758	27,255	314,560
4180 Payroll - Leasing	20,885	20,101	20,031	21,834	20,637	20,577	20,752	20,007	20,717	20,186	20,378	19,927	246,032
4190 Payroll - Maintena	24,325	24,271	27,073	26,667	26,764	26,777	25,713	27,598	26,941	26,641	27,117	25,734	315,621
4200 Payroll Taxes & Be	33,694	37,157	35,145	33,080	34,113	33,495	33,468	32,957	35,060	33,560	33,692	33,907	409,327
4210 Repairs - Plumbing	32,304	31,278	31,303	29,917	31,642	33,096	33,148	30,086	30,650	31,050	33,155	32,865	380,494
4220 Repairs - HVAC	11,076	11,516	11,401	11,582	12,110	11,771	11,081	11,228	11,113	10,598	10,575	11,994	136,045
4230 Repairs - Electric	32,416	31,531	29,786	30,433	32,168	32,589	30,145	30,580	30,836	33,016	29,632	31,674	374,806
4240 Repairs - Applianc	17,086	16,954	17,197	17,876	16,586	17,153	17,051	16,476	17,373	16,131	16,546	17,737	204,165
4250 Painting & Decorat	30,788	31,017	29,131	30,818	29,711	30,184	28,360	31,557	29,167	29,609	31,166	29,997	361,504
4260 Flooring	37,401	37,020	36,445	36,693	36,745	36,139	35,189	34,259	35,684	36,166	33,388	37,650	432,779
4270 Make-Ready / Turno	4,051	3,783	4,192	3,957	4,134	4,303	4,210	4,186	3,915	4,174	3,916	3,882	48,702
4280 Landscaping Contra	24,888	25,552	23,650	25,429	26,365	25,135	24,763	23,723	24,302	25,904	24,900	26,663	301,275
4290 Snow Removal	19,750	18,591	18,916	18,161	18,060	18,585	20,315	18,872	18,142	20,014	18,125	18,562	226,089
4300 Janitorial	26,620	28,507	28,681	28,955	29,505	26,737	27,548	28,661	29,810	28,553	28,038	29,823	341,438
4310 Pest Control	37,229	34,145	35,059	34,729	34,212	33,561	36,554	35,919	35,290	34,544	35,841	38,104	425,188
4320 Trash Removal	30,614	29,939	28,626	28,656	27,963	30,210	27,327	27,909	28,667	29,174	27,618	28,442	345,145
4330 Elevator Contract	11,890	12,823	11,373	12,025	11,610	12,049	12,221	12,099	12,288	11,961	11,480	12,602	144,421
4340 Fire & Life Safety	10,192	10,043	10,346	10,947	9,931	10,742	10,972	9,710	10,139	9,837	9,960	10,554	123,374
4350 Security	30,117	29,962	30,426	29,660	33,763	33,751	31,352	30,148	30,787	31,042	30,716	29,426	371,150
4360 Electricity - Comm	30,948	32,171	32,983	32,904	30,612	31,199	32,972	31,451	30,286	33,167	32,094	34,173	384,959
4370 Gas - Common	18,661	21,056	19,871	19,880	21,000	18,738	20,756	20,447	18,935	20,875	18,489	20,942	239,651
4380 Water & Sewer	29,774	31,752	31,813	29,548	28,495	30,929	29,541	28,285	28,566	28,044	29,906	27,950	354,602
4390 Telephone/Internet	37,308	34,939	36,779	38,096	39,914	36,006	37,035	39,880	37,731	38,100	38,763	37,229	451,779
4400 Advertising	21,989	21,526	22,333	22,033	23,524	23,208	23,025	22,675	23,982	22,393	21,509	24,209	272,407
4410 Resident Events	12,312	12,114	13,075	12,721	12,064	12,212	12,196	13,432	13,710	12,227	13,487	12,624	152,174
4420 Office Supplies	37,061	39,210	37,120	34,842	37,196	39,752	36,681	37,384	37,620	37,710	35,393	37,684	447,652
4430 Legal & Profession	8,219	8,057	8,989	8,263	8,999	8,322	8,170	8,214	8,564	8,945	8,205	8,297	101,243
4440 Accounting & Audit	34,330	37,326	38,075	35,533	39,288	39,180	36,017	39,034	37,445	35,102	37,181	34,321	442,832
4450 Licenses & Permits	19,021	19,460	18,729	18,970	17,791	17,283	18,252	17,566	19,092	18,854	17,721	17,722	220,460
4460 Management Fee	6,499	6,723	6,922	6,821	6,309	6,616	6,521	6,801	6,702	6,492	6,688	6,784	79,880
4470 Property Insurance	24,445	26,661	26,986	27,100	27,013	25,813	27,143	27,255	24,877	24,307	25,883	23,989	311,470
4480 Real Estate Taxes	27,654	26,216	27,612	26,877	28,799	28,067	28,770	28,421	25,581	26,772	25,635	26,631	327,036
4490 Asset Management F	6,781	6,423	6,955	6,188	6,874	6,643	6,603	6,814	6,970	6,577	6,638	6,787	80,252
4500 Replacement Reserv	18,267	18,006	18,337	16,973	18,298	17,287	16,461	16,583	17,818	18,088	17,073	18,299	211,490
4510 Roof Repairs	28,739	29,286	28,731	28,758	30,207	28,585	31,335	28,415	29,590	30,136	29,955	28,406	352,143
4520 Parking Lot Repair	10,281	10,246	10,254	11,017	10,905	10,948	10,829	10,175	10,847	10,464	10,647	10,360	126,973
4530 Signage	9,603	8,722	9,633	9,363	8,730	9,807	9,398	9,771	9,100	10,005	9,087	9,988	113,205
4540 Tenant Improvement	25,924	24,758	26,334	25,156	26,769	25,051	26,166	26,176	26,474	27,424	25,014	24,962	310,209
4550 Leasing Commission	7,648	8,161	7,893	7,448	8,013	7,370	7,230	7,993	7,665	7,143	7,811	8,105	92,481
4000 Gross Potential Re	307,346	303,957	339,117	315,348	332,028	297,090	299,210	321,078	300,266	322,293	304,925	335,612	3,778,271
4010 Loss to Lease	42,840	42,047	45,670	43,027	42,019	41,655	44,266	42,234	41,553	44,652	43,501	41,888	515,351
4020 Vacancy Loss	177,250	173,589	188,739	166,814	167,937	175,750	180,408	169,372	174,705	181,966	176,780	183,280	2,116,590
4030 Concessions	147,135	135,101	140,606	135,496	132,148	151,448	145,679	148,253	145,221	140,779	137,403	144,652	1,703,922
4040 Bad Debt	276,032	264,846	263,829	294,614	265,983	278,703	273,429	263,420	286,139	265,398	295,863	283,851	3,312,106
4050 Late Fees	16,411	17,858	17,034	18,050	18,147	16,843	18,455	17,732	18,145	16,244	16,469	18,278	209,666

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Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.19% reflects the in-place income and the stabilized occupancy assumption. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Debt service coverage ratio was 7.24x on a trailing basis against a covenant minimum of 1.20x.

Trailing twelve-month occupancy was 94.2% with an average daily rate of $202 and RevPAR indexing above the competitive set. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Debt service coverage ratio was 6.95x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Trailing twelve-month occupancy was 91.8% with an average daily rate of $202 and RevPAR indexing above the competitive set. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 34 meeting rooms. Service requests are tracked through a work-order system with an average completion time of 14 hours. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $235,000 or approximately 43.45 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 35 meeting rooms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Trailing twelve-month occupancy was 94.8% with an average daily rate of $202 and RevPAR indexing above the competitive set. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Debt service coverage ratio was 6.33x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Trailing twelve-month occupancy was 89.2% with an average daily rate of $202 and RevPAR indexing above the competitive set. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. Collections for the period were 95.2% of billed charges, with bad debt of 7.6% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Collections for the period were 91.7% of billed charges, with bad debt of 6.2% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4060 Utility Reimbursem	63,547	60,381	57,682	62,981	59,485	59,851	62,921	57,874	57,407	61,140	62,072	62,940	728,280
4070 Parking Income	81,557	76,807	81,446	79,505	80,329	75,739	78,191	81,463	86,131	84,533	83,153	83,699	972,555
4080 Application Fees	278,815	267,882	252,770	247,990	274,887	247,732	276,977	278,773	271,240	254,568	271,499	272,551	3,195,684
4090 Pet Rent	45,472	46,332	46,580	44,480	44,394	47,658	47,669	43,107	47,426	41,680	45,347	47,384	547,529
4100 Laundry Income	78,615	76,892	83,160	77,451	75,680	81,306	77,781	76,170	75,011	76,664	80,627	78,854	938,210
4110 Cable/Internet Rev	185,470	181,375	205,156	200,839	205,916	195,654	199,774	180,380	185,357	201,379	180,502	192,369	2,314,170
4120 CAM Reimbursements	83,638	84,742	90,620	91,109	90,262	84,895	82,549	85,570	84,992	87,160	86,401	91,840	1,043,779
4130 Tax Reimbursements	182,594	183,085	166,726	163,373	176,642	169,018	180,390	173,962	163,274	179,945	172,036	173,524	2,084,569
4140 Insurance Reimburs	202,556	200,733	197,461	203,161	203,050	190,308	180,796	199,653	181,698	196,818	186,189	183,694	2,326,116
4150 Percentage Rent	115,238	112,588	123,107	122,697	113,235	114,023	124,185	121,728	120,670	125,102	119,673	121,874	1,434,121
4160 Misc. Income	246,938	236,789	262,760	237,622	248,981	242,431	244,414	269,735	251,857	241,633	270,576	262,189	3,015,923
4170 Payroll - Manageme	18,476	18,358	18,880	20,228	19,590	19,604	19,324	20,071	20,420	19,961	20,316	17,979	233,207
4180 Payroll - Leasing	8,673	8,875	8,229	8,104	8,249	8,165	8,091	7,938	7,948	8,779	8,706	8,512	100,271
4190 Payroll - Maintena	28,475	30,613	28,819	30,185	30,989	31,393	30,438	29,087	31,309	28,268	28,916	29,730	358,221
4200 Payroll Taxes & Be	12,467	13,738	13,097	12,086	12,944	12,221	13,694	13,010	12,391	13,092	12,129	13,639	154,509
4210 Repairs - Plumbing	13,696	13,988	14,205	14,417	13,610	14,955	14,983	14,262	13,782	14,520	15,448	14,430	172,295
4220 Repairs - HVAC	32,529	31,742	33,608	33,122	34,380	33,552	33,331	33,015	34,641	34,378	32,754	32,146	399,197
4230 Repairs - Electric	27,716	28,929	27,269	26,226	25,840	27,977	28,718	26,374	28,396	29,255	28,881	28,093	333,675
4240 Repairs - Applianc	14,841	14,067	13,846	13,767	14,189	13,875	13,544	15,236	13,756	14,780	14,403	14,696	171,000
4250 Painting & Decorat	35,610	39,285	38,816	35,967	35,657	35,846	38,450	38,316	37,350	40,273	37,897	39,947	453,414
4260 Flooring	11,098	11,507	11,416	12,524	11,099	11,227	12,344	12,451	12,178	11,609	12,418	12,221	142,091
4270 Make-Ready / Turno	16,074	14,487	14,834	14,382	15,317	16,448	14,624	16,080	14,956	16,290	14,621	14,847	182,959
4280 Landscaping Contra	22,412	20,142	22,002	22,844	21,377	21,593	21,898	20,477	21,460	20,811	21,446	20,314	256,775
4290 Snow Removal	32,728	31,081	33,357	33,263	32,105	33,734	33,320	34,287	34,289	32,752	34,176	33,982	399,075
4300 Janitorial	8,165	7,958	8,309	8,662	8,377	8,788	8,237	8,773	8,701	8,659	8,400	8,088	101,118
4310 Pest Control	13,132	13,044	11,554	12,051	12,147	11,686	12,689	12,923	12,681	12,486	12,569	12,534	149,495
4320 Trash Removal	31,208	27,885	30,871	28,081	28,315	28,761	31,433	29,215	31,180	27,995	31,507	29,846	356,297
4330 Elevator Contract	17,977	19,115	17,517	17,569	18,353	18,029	18,433	18,072	17,460	17,786	18,722	17,575	216,609
4340 Fire & Life Safety	11,891	11,951	12,714	11,780	12,568	11,809	12,595	11,669	11,736	11,910	12,060	12,386	145,068
4350 Security	15,788	16,078	15,360	16,645	17,043	16,141	15,142	16,778	16,321	16,250	15,103	17,152	193,801
4360 Electricity - Comm	31,946	29,016	30,098	30,796	31,442	31,489	29,959	28,682	31,312	29,178	31,825	31,068	366,810
4370 Gas - Common	14,931	15,203	15,305	15,422	15,211	15,926	14,871	14,312	15,024	14,826	14,440	14,197	179,669
4380 Water & Sewer	6,796	7,329	6,543	6,879	7,065	7,272	7,417	7,102	6,844	7,465	7,328	6,798	84,836
4390 Telephone/Internet	3,671	3,943	3,626	3,666	3,804	3,908	3,642	4,047	4,004	3,918	4,000	4,060	46,290
4400 Advertising	18,482	19,817	18,711	18,865	20,332	21,172	19,056	19,809	19,529	20,936	19,717	19,562	235,987
4410 Resident Events	3,974	4,217	3,882	4,246	3,963	4,236	3,982	4,104	4,077	3,877	4,228	3,873	48,657
4420 Office Supplies	29,040	28,352	30,062	32,004	29,281	30,952	31,808	30,460	30,589	28,675	32,495	30,788	364,506
4430 Legal & Profession	24,492	27,397	27,456	27,252	27,376	27,090	27,602	27,786	27,596	27,346	24,321	26,114	321,827
4440 Accounting & Audit	16,246	16,520	16,973	16,958	17,065	15,936	17,349	15,786	17,635	15,821	16,973	17,480	200,741
4450 Licenses & Permits	32,493	31,838	31,124	32,476	32,694	30,637	32,055	30,124	34,213	30,862	30,826	31,721	381,063
4460 Management Fee	8,494	9,131	8,402	8,394	8,558	9,252	8,727	9,156	8,536	8,554	9,504	8,928	105,635
4470 Property Insurance	22,007	21,994	23,883	23,258	22,006	22,950	22,320	22,452	23,408	24,460	23,860	25,086	277,685
4480 Real Estate Taxes	23,544	23,665	21,670	22,063	24,523	23,151	23,487	22,748	22,421	22,204	24,204	22,051	275,731
4490 Asset Management F	38,368	39,856	37,112	35,649	37,385	39,724	37,061	35,263	39,916	37,871	36,017	38,218	452,440
4500 Replacement Reserv	24,525	21,952	22,883	23,278	22,708	21,986	24,593	24,438	24,257	24,685	23,060	22,409	280,772
4510 Roof Repairs	16,222	16,729	17,749	15,870	17,539	17,930	17,489	18,169	17,413	17,839	17,271	16,704	206,925

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Operating Performance

Debt service coverage ratio was 6.11x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $293,000, representing a 4.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 13 meeting rooms.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Debt service coverage ratio was 5.93x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Trailing twelve-month occupancy was 96.8% with an average daily rate of $202 and RevPAR indexing above the competitive set. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses.

Property Operations

Collections for the period were 95.8% of billed charges, with bad debt of 4.1% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 6 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Service requests are tracked through a work-order system with an average completion time of 27 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Trailing twelve-month occupancy was 93.0% with an average daily rate of $202 and RevPAR indexing above the competitive set. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 35 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Income and Expense Review

Debt service coverage ratio was 5.19x on a trailing basis against a covenant minimum of 1.20x. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 30 meeting rooms. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $19,000, representing a 11.1% increase over the prior year. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 96.7% with an average daily rate of $202 and RevPAR indexing above the competitive set.

Effective gross income for the trailing period was $127,000, representing a 11.9% increase over the prior year. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 48 meeting rooms. Operating expenses totaled $425,000 or approximately 13.95 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.54x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 12 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Service requests are tracked through a work-order system with an average completion time of 30 hours.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4020 Vacancy Loss	199,958	214,699	187,181	204,379	196,694	198,965	194,466	192,830	208,791	206,501	195,750	197,563	2,397,778
4030 Concessions	37,192	37,221	34,045	32,964	37,030	34,617	35,546	33,630	33,815	36,829	35,319	36,549	424,757
4040 Bad Debt	126,281	124,893	128,101	121,132	133,222	127,807	130,158	120,718	125,286	130,978	129,356	119,287	1,517,218
4050 Late Fees	148,684	145,348	142,752	136,884	134,708	147,070	143,675	144,364	142,379	134,621	143,364	145,344	1,709,193
4060 Utility Reimbursem	187,171	200,046	196,990	182,370	201,798	194,245	185,141	196,148	204,539	202,375	198,204	182,128	2,331,153
4070 Parking Income	270,393	284,303	290,879	300,802	291,019	282,507	298,584	294,256	282,068	299,959	283,519	286,127	3,464,416
4080 Application Fees	42,655	42,367	43,989	43,399	39,565	42,373	43,946	44,391	43,437	44,556	40,573	41,989	513,239
4090 Pet Rent	258,256	239,203	266,839	256,026	265,335	252,498	269,586	255,139	273,552	250,566	258,372	264,713	3,110,085
4100 Laundry Income	181,773	177,177	177,362	195,013	184,111	181,507	189,289	191,830	190,308	195,583	177,020	195,826	2,236,800
4110 Cable/Internet Rev	105,214	112,342	105,652	104,281	106,798	115,029	110,192	100,388	114,369	110,975	110,560	113,568	1,309,369
4120 CAM Reimbursements	88,756	87,241	96,950	91,007	92,366	97,646	88,679	91,619	86,749	97,942	95,978	89,501	1,104,432
4130 Tax Reimbursements	29,493	31,475	29,748	29,968	31,141	30,380	31,948	31,178	32,557	30,516	32,710	29,843	370,957
4140 Insurance Reimburs	198,340	209,926	198,473	212,172	212,346	214,544	223,292	204,243	200,776	197,473	223,296	222,711	2,517,591
4150 Percentage Rent	192,158	199,101	199,045	196,403	202,093	194,265	196,049	180,557	190,922	180,839	200,835	189,939	2,322,206
4160 Misc. Income	17,120	16,460	16,216	16,567	17,073	15,921	15,134	16,085	16,567	14,991	16,514	16,619	195,266
4170 Payroll - Manageme	9,198	9,921	10,187	10,241	9,164	9,391	9,643	9,336	9,584	9,712	9,948	9,188	115,514
4180 Payroll - Leasing	29,857	31,355	28,999	30,285	29,084	29,437	30,914	29,634	29,498	31,378	29,773	28,443	358,657
4190 Payroll - Maintena	22,108	22,453	23,132	22,606	20,641	21,888	20,948	21,611	20,631	20,764	23,282	23,170	263,235
4200 Payroll Taxes & Be	9,183	9,484	9,496	8,929	9,359	8,746	8,774	9,263	8,794	9,078	9,275	8,945	109,324
4210 Repairs - Plumbing	14,082	15,056	14,451	14,356	15,688	15,315	14,050	14,252	15,660	13,941	13,959	15,275	176,084
4220 Repairs - HVAC	20,940	19,599	22,087	22,241	22,365	20,115	19,611	22,139	20,085	20,577	21,626	19,916	251,300
4230 Repairs - Electric	14,912	15,081	13,468	14,975	15,078	13,773	14,289	13,655	14,259	15,076	15,026	14,369	173,961
4240 Repairs - Applianc	7,893	7,117	7,724	6,964	7,299	6,964	7,884	7,281	7,446	6,993	6,938	7,469	87,971
4250 Painting & Decorat	36,594	34,255	36,163	37,298	36,087	37,649	37,793	35,976	37,168	37,315	37,434	37,435	441,168
4260 Flooring	13,118	14,247	14,039	14,231	13,658	12,544	13,611	14,288	12,694	13,682	12,959	12,588	161,657
4270 Make-Ready / Turno	36,929	37,757	34,864	34,161	37,988	37,602	35,528	34,741	36,951	38,026	37,178	34,135	435,859
4280 Landscaping Contra	35,624	32,398	34,202	33,125	31,294	35,430	35,855	31,984	31,366	35,224	33,961	32,843	403,307
4290 Snow Removal	16,266	17,561	16,228	17,732	18,004	16,201	16,107	17,797	16,054	17,356	16,009	15,824	201,139
4300 Janitorial	21,608	21,958	21,654	22,719	21,977	21,723	21,669	23,074	20,837	21,843	21,498	21,752	262,310
4310 Pest Control	34,702	35,096	36,006	35,882	38,791	39,181	37,026	38,495	37,749	39,720	37,660	39,135	449,442
4320 Trash Removal	29,791	31,172	31,311	31,530	29,445	32,190	31,532	29,594	30,128	31,655	30,958	32,161	371,468
4330 Elevator Contract	20,719	21,422	22,081	21,757	21,604	20,454	20,209	21,592	19,405	19,897	20,899	19,494	249,533
4340 Fire & Life Safety	7,743	8,682	8,653	8,000	8,050	8,779	8,402	8,600	7,803	7,996	7,947	8,138	98,793
4350 Security	37,529	35,243	38,204	38,011	34,101	38,916	34,361	34,783	37,016	38,861	34,988	36,522	438,535
4360 Electricity - Comm	31,176	30,124	29,842	29,317	30,937	32,261	28,510	30,680	30,008	32,006	31,688	31,676	368,224
4370 Gas - Common	13,915	14,365	15,104	14,092	14,495	14,475	14,833	13,945	15,149	15,338	13,875	14,685	174,271
4380 Water & Sewer	24,243	25,490	23,834	23,217	24,626	23,874	24,088	22,463	24,809	24,891	24,266	22,680	288,482
4390 Telephone/Internet	17,924	17,521	17,290	19,794	17,627	19,192	17,909	19,658	18,736	19,058	17,246	19,365	221,320
4400 Advertising	35,433	34,856	35,308	32,149	34,779	33,065	36,260	34,706	32,680	31,736	33,778	34,952	409,702
4410 Resident Events	24,778	26,035	26,570	26,222	26,706	27,414	25,001	24,702	26,203	24,378	25,647	27,542	311,198
4420 Office Supplies	3,816	3,827	4,069	3,873	3,779	3,869	3,781	3,683	3,902	3,711	4,046	3,717	46,073
4430 Legal & Profession	3,374	3,230	3,195	3,041	3,343	3,458	3,052	3,369	3,258	3,399	3,363	3,247	39,331
4440 Accounting & Audit	16,364	15,140	15,415	16,669	16,058	16,679	17,093	16,924	15,835	16,259	16,779	15,721	194,936
4450 Licenses & Permits	9,263	8,975	8,407	8,523	8,266	8,529	8,479	9,234	9,299	8,591	8,829	8,831	105,226
4460 Management Fee	24,007	25,509	25,161	23,569	26,088	25,722	25,664	24,261	26,639	24,511	25,042	24,903	301,075
4470 Property Insurance	9,248	9,100	8,988	8,834	9,347	8,991	9,333	9,263	9,395	9,441	9,209	9,599	110,748
4480 Real Estate Taxes	26,186	26,051	23,844	24,464	26,018	24,507	25,557	22,992	24,153	24,546	24,978	23,551	296,845

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Financial Analysis

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 38 meeting rooms. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $328,000 or approximately 37.42 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.84% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period.

Operating expenses totaled $452,000 or approximately 40.93 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.48% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $417,000, representing a 10.2% increase over the prior year. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 17 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 17 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. Collections for the period were 94.2% of billed charges, with bad debt of 3.0% of gross potential income. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 38 meeting rooms. Trailing twelve-month occupancy was 89.9% with an average daily rate of $202 and RevPAR indexing above the competitive set.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 47 meeting rooms. Trailing twelve-month occupancy was 89.4% with an average daily rate of $202 and RevPAR indexing above the competitive set. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day.

Income and Expense Review

The going-in capitalization rate of 6.25% reflects the in-place income and the stabilized occupancy assumption. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.46x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $473,000 or approximately 43.56 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period.

Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. Effective gross income for the trailing period was $336,000, representing a 12.5% increase over the prior year. Operating expenses totaled $209,000 or approximately 9.54 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.83x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.74% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

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